Pre-Convention Workshop
Friday, August 12, 2022

CSRS, CSRS OFFSET & FERS

RETIREMENT PLANNING

Instructor(s):
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"Dedicated To Assisting APWU Members Understand Federal Employees Retirement & The Benefits Options Available!"

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A Message from Nancy E. Olumekor, Director, APWU Retirees Department

The APWU Retirees Department thanks each of you for being here today to learn more about your retirement so that you can take the necessary steps to plan properly.

- ***This seminar is designed to answer the most frequently asked questions which should help get you started in the right direction.***
- ***If you have additional questions once you leave this workshop, you can contact us by email at RetireeQandA@apwu.org.***
- ***We are prompt and detailed with our responses.***

Once you've made the decision to retire, that's just the beginning.

Join the APWU Retirees Department for just $3.00 per month.

Join on-line at APWU "Members Only"

Join by mail or email application to Retiree2@apwu.org.

Ten Retirement Mistakes

1. **Retiring on the spur of the moment because of a difficult assignment or personality clash on the job.**
2. **Failing to discuss retirement plans with your spouse.**
3. **Retiring “from” something without having something better to do.**
4. **Expecting to live comfortably on your annuity without making realistic calculations of how much money it will take to maintain your standard of living.**
5. **Failing to stay abreast of developments and changes in federal retirement entitlement and trends.**

Ten Retirement Mistakes cont.

6. Retiring without reviewing all the retirement options, and the pros and cons of each.
7. Basing retirement decision on the advice of friends rather than consulting with the experts.
8. Selling your house and moving to an area without being sure of the cultural, social, and economic realities of the move.
9. Believing that your active productive life is over just because you are retiring.
10. Failing to review all your service and entitlement to be sure you get proper credit. Believing that the estimate you receive from the postal service is the actual amount of your annuity.

Considerations for Retirement

1. LEARN ABOUT YOUR BENEFITS.





2. PLAN BY SAVING TODAY.

3. PLAN FOR HEALTH NEEDS.





4. MAKE FINANCIAL CHOICES AFTER RETIREMENT.

Retirement Statistics at Age 65

- **Those who go into retirement with a house note will need approximately 80 % of their gross income before retirement.**
- **Those who retire with no debt, no house note, no credit cards will need approximately 60 % of their gross income just before retiring.**
- **Only 5% of you will retire at the same or better level of financial comfort that you have now.**
- **The other 95% will be forced to live below their present standard of living.**

Retirement Considerations: When Completing the HRSS Process ?

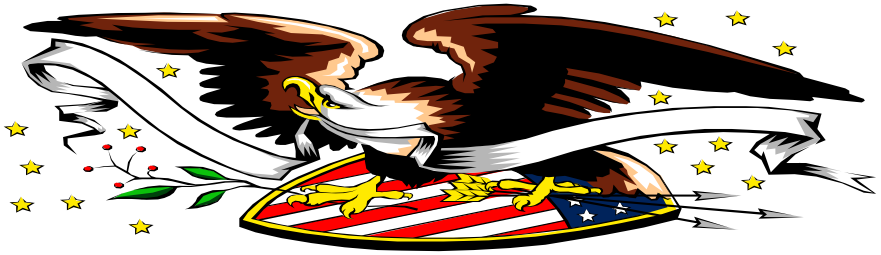
- **We will answer these questions today:**
  - **Have I been credited with all my service?**
  - **How much money will I net?**
  - **Can I carry FEHB into my retirement?**
  - **What benefit can I provide for my spouse?**
  - **Can I carry FEGLI into my retirement?**
  - **When to retire, what day of the month?**
  - **Can my retirement income change after I retire?**

The Retirement Process

- **Deciding – This will be the most important decision of your working career!**
- **The Postal Service no longer provides face to face counseling.**
- **The Postal Service will provide individual retirement counseling by a retirement specialist from the HRSSC.**
- **Everything is now handled by Human Resources Shared Services (HRSSC) by phone (1-877-477-3273 option 5).**
- **Essentially there are two systems: CSRS and FERS.**

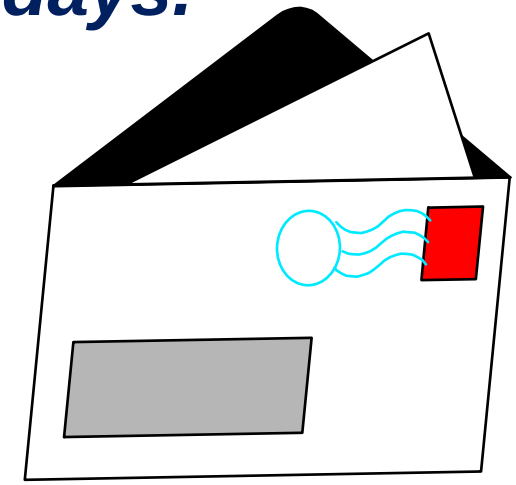
Retirement Systems

- ***Three Types***
  - ***Civil Service Retirement (CSRS)*** ***(Anyone hired prior to 12/31/83).***
  - ***Civil Service Offset*** ***(CSRS Rehires –Original period 1/1/84–6/6/86).***
  - ***Federal Employees Retirement (FERS)*** ***(Everyone hired after 1/1/84)***



CSRS Offset

- ***Social Security Amendments of 1983:***
  - ***All Employees Hired by Government after 12/31/83 will be covered by Social Security.***
  - ***CSRS Employees with a break in Service of more than 365 days.***
  - ***Rehired after 12/31/83.***



How Can I Tell What System I'm In? What's on Your Check Stub?

- ***There's a little number next to "retire" that indicates:***
  - **"1" indicates CSRS.**
  - **"5" indicates CSRS Offset.**
  - **"8" indicates FERS, FERS-RAE, FERS-FRAE.**
  - **"A" indicates the switch to FERS.**

CSRS
Civil Service Retirement System

- **Deductions:**
  - 7.00% Regular Employees.
  - 1.45% Medicare.
  - 7.50 Employees under Special Provisions.
  - Excluded from Taxes for Social Security.
- **CSRS Offset:**
  - Covered by both Social Security & CSRS
- **Contribution is the difference between:**
  - Full CSRS & Social Security Tax 6.2%, FERS .80%.

FERS
Federal Employees Retirement System

- **Deductions:**
  - **.8% Regular Employees**
    - 3.1% If hired after 1/1/2013
    - 4.4% If hired after 1/1/2014
  - **1.45% Medicare**
  - **6.2% Taxes for Social Security**
- **CSRS Offset:**
  - **Covered by both Social Security & CSRS**
  - **Contribution is the difference between:**
  - **Full CSRS & Social Security Tax 1.45%, CSRS 7%**

CSRS / CSRS Offset / FERS All Include Benefits of:

- A Lifetime Annuity Benefit.
- Federal Employees Health Benefits.
- Survivor Benefits.
- Life Insurance.
- Long Term Care.
- Flexible Spending Account.
- Voluntary Contributions (CSRS only).
- Social Security (ONLY CSRS OFFSET & FERS).
- Thrift Savings Plan (Matched for FERS).



Retire Eligibility CSRS - CSRS Offset

- **No Age Reduction:**
  - Age 62 with 5 Years.
  - Age 60 with 20 Years.
  - Age 55 with 30 Years.
- **Disability:**
  - Any Age with 5 Years.
- **Early Out:**
  - Any Age with 25 Years.
  - Age 50 with 20 Years.
  - Reduction of 1/6 of 1% for each full month (2% per year) Employee Under 55.
- **Deferred:**
  - Age 62 with 5 years.

Retire Eligibility FERS

- **Full Optional:**
  - Age 62 with 5 Years
  - Age 60 with 20 Years
  - Age 55-57 with 30 Years
  - MRA + 10 (w/ % reduction)
- **Disability:**
  - Any Age with 18 months
- **Early Out:**
  - Any Age with 25 Years
  - Age 50 with 20 Years
  - No Age Reduction – However No Supplement until MRA
- **Deferred**
  - Age 62 with 5 years

FERS MRA
(Minimum Retirement Age)

Before	Age	Yrs.	Yrs. w/reduction
1947	55	30	10
1948	55-2 mos.	30	10
1949	55-4 mos.	30	10
1950	55-6 mos.	30	10
1951	55-8 mos.	30	10
1952	55-10 mos.	30	10
1953-64	56	30	10
1965	56-2 mos.	30	10
1966	56-4 mos.	30	10
1967	56-6 mos.	30	10
1968	56-8 mos.	30	10
1969	56-10 mos.	30	10
1970	57	30	10

Unused/Earned Leave

Unused / Earned Annual Leave

- **Earned annual paid as terminal leave on final check.**
- **Remember this may be your only income until your first annuity check is received.**

Unused / Earned Sick Leave

- **Sick leave cannot make you eligible for retirement.**
- **Sick leave is converted to time and added for annuity only.**

Sick Leave Conversion Chart

- To convert sick leave hours to retirement service credit, find the number of sick leave hours in the chart.
- The retirement credit is in months and days, from the months listed at the top of the column and the days noted in the far left column.

- **For Example:**
  - 1,565 hours equals 9 months of service.
  - 805 hours equals 4 months, 19 days of service (Based on 2,087 work hours per year).

Military Buy Back / Post 56 Military Deposit

- **If First Hired Before 10-1-1982 then:**
  - **Deposit & no reduction of Retirement Annuity at 62 if entitled to Social Security, OR**
  - **No Deposit - Retirement annuity recomputed at 62 if entitled to Social Security.**
- **Note: Military Deposit for Post 56:**
  - **Means 7% for CSRS & 3% for FERS buyback on military earnings with interest.**
  - **SF 3108A - Application to Pay Military Deposit For Military Service Performed After Dec. 31, 1956 (FERS).**
  - **SF 2803A - Application to Pay Military Deposit For Military Service Performed After Dec. 31, 1956 (CSRS).**

Re-Deposit Service CSRS/FERS

- **Allowance For Redeposit For Refunded Service.**
- **Not Required To Receive Service Credit If Before 10-1-90. (However Reduces Annuity Calculation).**
- **Is Required For Refunded Service Occurring After *3-1-91.***
- **Contact Shared Services Determine What You May Owe.**
- **SF 3108 - Application to Make Service Credit Payment (FERS).**
- **SF 2803 - Application to Make Service Credit Payment (CSRS).**

Simply Put:

- **A deposit is defined as the money contributed by the employee to cover service time or when no deductions were taken whether civilian or military.**

- **A redeposit is defined as returning money to the retirement fund that had been previously refunded after separating from an earlier period of employment.**

Non-Creditable Service

- **LWOP - In excess of 6 months in a year unless covered by OWCP.**
- **Retired Military - Unless combat connected or other exception.**
- **Military Lost Time.**
- **Partially Creditable Service - Most non-career Rural Service is creditable only for time “While Actually Employed.”**

Retirement Calculation

Years of Creditable Service Includes:

- Time Worked.
- Deposit/Redeposit.
- Military Buy Back Time.
- Earned-Unused Sick Leave.

High-3 Basic Salary Includes:

- Regular Pay.
- Higher Level Detail.

Does Not Include:

- Bonuses.
- Night Differential.
- Sunday Premium.
- Overtime.
- Allowances.

Computation of Annuity CSRS

- ***HI-3 average salary $60,000***
- ***Years of Service 30 years***
- ***Regular Formula:***
  - ***1.50% x $60,000 = $900.00 x 5 years = $ 4,500***
  - ***1.75% x $60,000 = $1050.50 x 5 years = $ 5,250***
  - ***2.0% x $60,000 = $1200.00 x 20 years = $24,000***
- ***Basic Annuity = $33,750***
- ***$33,750 divided by 12 = $2,812.00 Monthly***

CSRS Estimate

- **$60,000 High 3 Average @ age 58 & 30 years service.**
  - **$33,750 Annual**
  - **$ 2,812 Monthly**
  - **$2,812**
  - **$ 421 Taxes @ 15%**
  - **$2,391**
  - **$ 432 FEHBP APWU (Self + 1)**
  - **$ 1959**
  - **$ 266 Survivor Benefit**
  - **$1,693**

Quick CSRS Calculation Formula

- ____x 2 = ____- 4 = ____+ .25 = ____%

  (Years of Service)

- ____% x ____ High 3 Base = ____
- ____ Divided by 12
- ____ = Monthly Annuity.

CSRS % Table

26	48.25
27	50.25
28	52.25
29	54.25
30	56.25
31	58.25
32	60.25
33	62.25
34	64.25
35	66.25
36	68.25
37	70.25
38	72.25
39	74.25
40	76.25
41	78.25
42	80.00
43	80.00

- **More than 80% acquired by the accrediting of sick leave after an employee reaches 41 years and 11 months.**

FERS Annuity Components

- **1 % times Years of Service times High -3 Average Salary equals Annual Income.**
- **Divide by 12 for Monthly Annuity.**
- **If the retiree is age 62 or older with 20 or more years of service use 1.1% instead of 1%.**
- ****If retiree is MRA with at least 30 years service or age 60 with at least 20 years of service, OPM will pay an annuity supplement until age 62, where applicable.**

Computation Of Annuity FERS

- ***HI-3 average salary $60,000.***
- ***Years of Service 30 years.***
- ***Age 58 (MRA).***
- ***Regular Formula:***
- ***1% x 30 years x $60,000 = $ 18,000.***
- ***Basic Annuity = $18,000.***
- ***Monthly: $18,000 divided by 12 = $1500 per month.***

FERS Estimate

- **$60,000 High 3 Average @ age 58 & 30 years of service.**

- **$18,000 Annuity**
- **$1,500 Monthly**
- **$1,500**
- **-$ 225 Tax @ 15%**
- **$ 1,275**
- **- $ 432 FEHBP APWU (Self +1)**
- **$ 843**
- **- $ 150 Survivor Benefit**
- **$ 693**
- **Plus Social Security $$ and TSP $$**

FERS Special Supplement

- A special supplement will be paid until age 62.
- The supplement approximates the Social Security benefit payable at age 62 earned as a federal employee.
- Earnings test will apply.
- Requirements:
  - MRA with at least 30 years.
  - Age 60 with 20 years.

Calculating Special Supplement

- ***Estimated Full Career***
  - ***Social Security Benefits at age 62***
  - _____ ***X Retiree's FERS years of service***
  - ***Divided by a factor of 40***
  - **Example:**
  - **$1,200 x 30 Years = $900**
  - **40**



Health Benefits

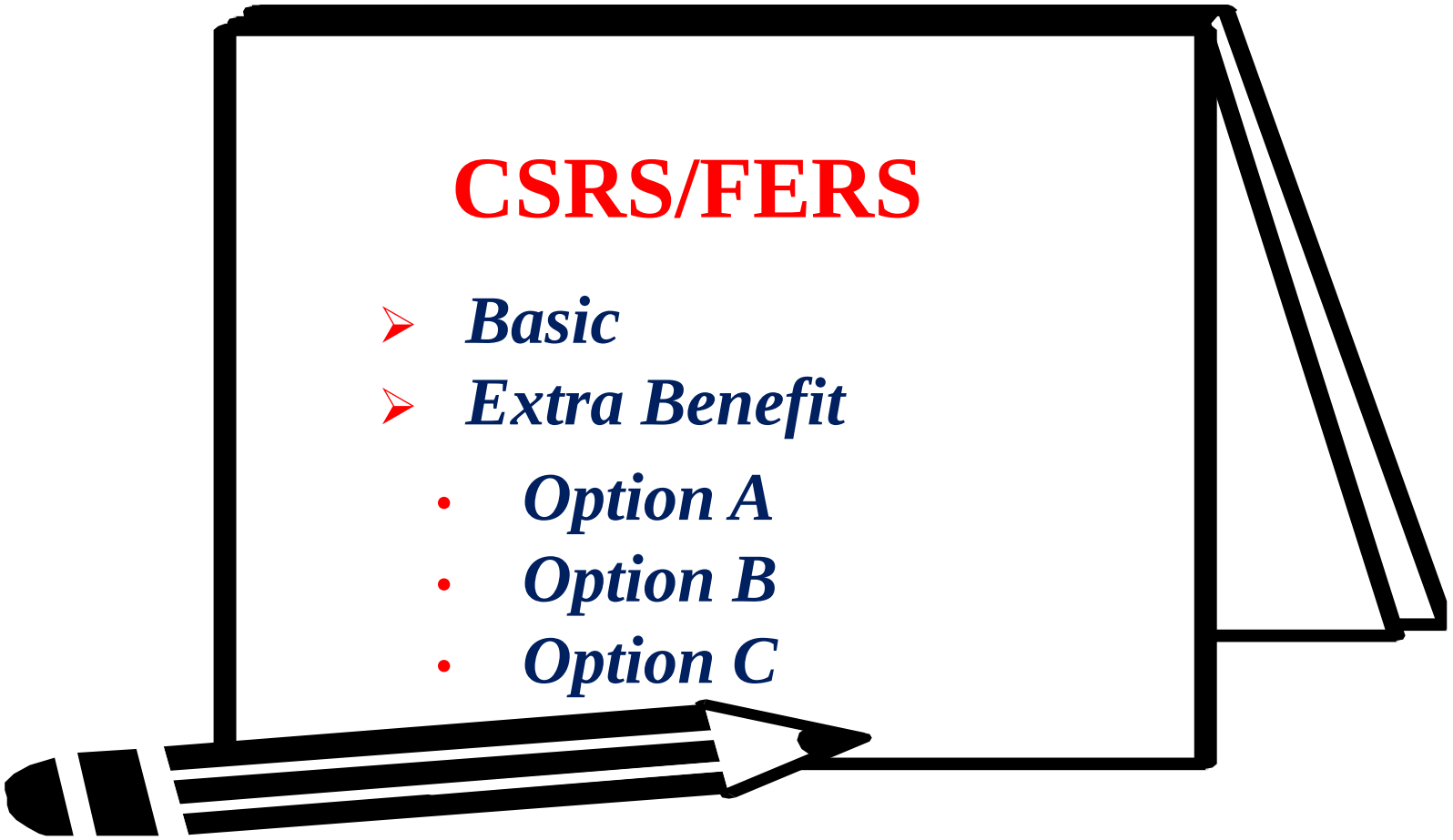
- **Can I Carry FEHBP into Retirement?**
  - **Must have been enrolled (in any plan) for at least 5 years.**
  - **Cost varies according to plan.**
  - **Annuitant rate equals federal employee monthly rate.**
- **Open Season Rights.**
  - **Surviving spouse covered only if survivor annuity is made and family coverage is in place at time of death.**



Health Benefits cont.

- **Open Season runs from Nov 14, 2022 through Dec 12, 2022.**
- **Check the rates and compare which is more to your advantage.**
- **OPM has plan comparison tool available on it's website to compare FEHB and FEDVIP.**

Federal Employees Group Life Insurance (FEGLI)



FEGLI - Basic Life Example

• Current basic pay	$ 61,126.00
• Round up	$ 62,000.00
• Add $ 2,000	$ 2,000.00
• Total Insurance	$ 64,000.00

- ***Available on OPM website FEGLI Calculator.***

F E G L I

Premiums for FEGLI will be adjusted after retirement:

BASIC	Level Insurance Coverage	Monthly Before Age 65	Monthly After Age 65
	0% Reduction	$2.5967/ $1000	$2.25/$1000
	(example 64K =	*$166.19*	*$144.00)*
	50% Reduction	$1.0967/ $1000	$0.75/$1000
	(example 64K =	*$70.19*	*$48.00)*
	75% Reduction	$0.3467/ $1000	FREE
	(example 64K =	*$22.19)*	

F E G L I

Optional Cost After Retirement

Premiums will increase significantly after retirement and will continue to increase as you age.

TYPE	Level Insurance Age 65	Monthly Before Age 65	Monthly After
OPTION A	55-59	$4.33/ $1000	None/Cost
	60-64	$13.00/ $1000	None/Cost
OPTION B	55-59	$.433 / $1000	
	60-64	$.953/ $1000	
	65-80+	$1.17- $5.20	
OPTION C	55-59	$3.21 per multiple	
	60-64	$5.85 per multiple	
	65-80+	$6.80 - $15.60	

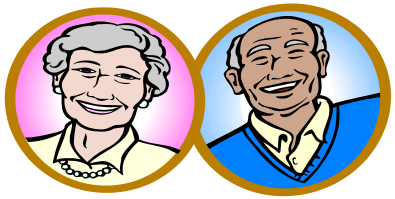
Survivor Benefits

- **Maximum amount for CSRS is 55% of employee's annuity.**
- **Maximum amount for FERS is 50% of employees' annuity.**

- **If employee has current and former spouse's entitled to survivor annuity, 50% is still the maximum amount.**
- **If former spouse is entitled to 50%, the current spouse is not eligible.**
- **The current spouse may be a contingent beneficiary if the former spouse dies.**
- **If the former spouse is entitled to 30%, the current spouse could have the 20% balance.**
- **As of June 26, 2013, allowances are now granted for same-sex marriages. This must be a licensed marriage to be recognized for survivor benefits.**
- **If the employee elects less than the maximum %, the current spouse must sign a notarized statement that he/she is aware and agrees to the decision.**

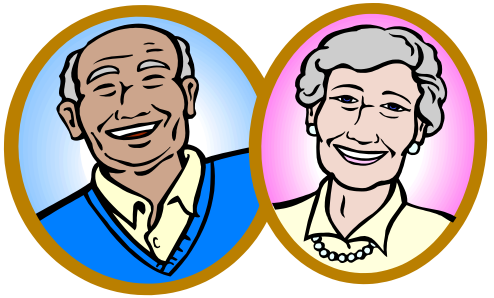
FERS Survivor Benefits

- **3 Choices at Retirement:**
  - **Self only - no reduction**
  - **25% benefit - Partial Reduction 5%**
  - **50% benefit – Full Reduction 10%**
- **For current spouse, former spouse, or combination.**
  - **Can be impacted by court order.**
  - **Future spouse (?) Can be retroactive.**
  - **In the event of a death, OPM will increase annuitant to full annuity amount or the appropriate % for a survivor.**
  - **FEHB would be reduced to Self-Only.**



FERS Survivor Benefits

- **Example:**
  - **Survivor Benefit (50% Maximum)**
    - **Employee's Benefit $10,000**
    - **Survivor Reduction 10%**
    - **Total Reduction 1,000**
  - **Partial Survivor Benefit (25%)**
    - **Employee's Benefit $10,000**
    - **Survivor Reduction 5%**
    - **Total Reduction 500**
  - **Retiree's Annuity After**
    - **$10,000 - 500 = $9,500**
  - **Survivor Annuity:**
    - **$10,000 X 25% = $2,500**



CSRS Survivor Benefits

- **Reduced Annuity Maximum Benefits:**
  - Basic Annuity (example) $24,000
  - 2 1/2% X $3,600 = $90
  - $24,000 - $3,600 = $20,400 X 10% = $2,040
  - $2040 + $90 = $2130.00
  - Reduction: $24,000 - $2,130 = $21,870
- **Survivor's Annuity:** 55% X $24,000 = $13,200
- **Reduced Annuity Lessor Benefits:**
  - $12,000 Base (50% of $24,000)
  - 2 1/2% X $3,600 = $90
  - $12,000 - $3,600 = $8,400 X 10% = $840
  - $24,000 - $930 = $23,070
- **Survivor's Annuity:** 55% X $12,000 = $6,600

Taxes

Federal

- Pre-taxed retirement deductions are spread over life expectancy.
- **Results in approximately 5% pension not taxed each year.**
- **Use "Simplified General Rule" to exclude a large part of your pension from taxes. See IRS PUB 721.**

State

- **OPM withholds only at the annuitant's request.**
- **Contact State or Local Tax Board to determine amount.**
- **Notify OPM of amount to deduct.**



Which States Have No State Taxes?

- There are nine states that do not have state taxes: Alaska, Florida, Nevada, New Hampshire, South Dakota, Tennessee, Texas, Washington and Wyoming.
- There are also 13 states that exempt the total amount of the civil service annuity as state income:

  Alabama, Hawaii, Illinois, Kansas, Kentucky, Louisiana, Massachusetts, Mississippi, New York, North Carolina, Oregon, Pennsylvania and Wisconsin.

USPS Annuity Estimates

- **CSRS Optional 3-1-2020.**
- **FERS Optional 9-1-2019 Service. History.**
- **FERS Optional 9-1-2019.**
- **FERS Optional 9-1-2018.**
- **FERS Optional 11-1-2017.**

What Is Disability Retirement?

- A disability retirement annuity is a benefit provided to protect an employee who is no longer able to provide useful and efficient service in his or her current grade or pay level because of a medical condition.
- The interests of both the Government and the individual are served if an employee remains gainfully employed as long as he or she can provide useful and efficient service without endangering himself or herself, others, or Government property.
- Disability retirement should be a last resort and is appropriate only when reasonable efforts to preserve the person's employment have failed.

Disability Required Criteria

OPM considers the documentary evidence you, your physician, and your agency provide.

Your claim can be allowed only if the evidence established that you meet all of the following criteria:

- **A medical condition, which is defined as a health impairment resulting from a disease or injury, including a psychiatric disease.**
- **Disability must last more than one year.**
- **Become disabled while serving under CSRS or FERS.**
- **A deficiency in service with respect to performance, conduct or attendance, OR in the absence of service deficiency, show that your medical condition is incompatible with either useful service or retention in the position.**
- **Your medical condition has caused a service deficiency.**
- **Your employer is unable to reasonably accommodate your medical condition.**

Disability Required Criteria cont.

Required Forms:

- **SF 2801 - CSRS Application for Immediate Retirement with associated forms.**
- **SF 3107 - FERS Application for Immediate Retirement with associated forms.**
- **SF 3112 - Application for Disability Retirement including 5 parts, Schedules A, B, C, D, and E.**
- **Once OPM has received your application, you will receive an acknowledgement.**
- **Letter with information and a claim number (beginning with letters "CSA"). OPM will review the application and contact you or the employer, if necessary, before a final opinion is rendered.**
- **If disallowed, you will also be given information about requesting reconsideration.**



VER - Early Out

This special retirement option applies only after OPM has determined that an agency is undergoing a major reduction in force, a major reorganization or a major transfer of functions (sometimes called "Early Out").

- **Minimum Requirements**
- **50 years old and 20 years of service including five years of civilian, or**
- **25 years of creditable service at any age.**
- **Must have served under the retirement system for at least one year within the two year period immediately preceding the separation upon which the annuity is based.**
- **Retiring CSRS employees under age 55 meeting these requirements will have their annuity reduced by 2% for each year.**
- **Retiring FERS employees meeting these requirements will have no percentage reductions for age.**

Deferred Annuity

- You must meet the general service requirements of five (5) years of service.
- You were separated from federal service for any reason before you meet the age requirement for immediate retirement.
- You do not withdraw your contributions from the Retirement Fund.
- You may receive a deferred annuity which is payable only at age 62 or older.
- The annuity is then computed under the law in effect on the date of the employee's last separation from a position under the retirement law on which entitlement to the annuity is based.

When is the Best Time for an Employee to Retire?

- ***A FERS employee retires on the last day of the month, the annuity is calculated the next day, and paid beginning of next month.***

- ***A CSRS employee can retire on the 1st 2nd or 3rd day of the month, the annuity is calculated the next day and payment will be the beginning of the next month.***

- ***Do not leave later than these dates any month***

When and How Much Will I Be Paid by the USPS?

- **The first check after your last work day will be your last salary paycheck.**
- **The last check is the terminal pay check for any unused earned Annual Leave, up to 440 hours.**
- **Earned Annual Leave is the balance carried forward at the beginning of the leave year plus Annual Leave earned before separation.**

WHERE WILL MY CHECKS BE MAILED AFTER I LEAVE THE POST OFFICE?

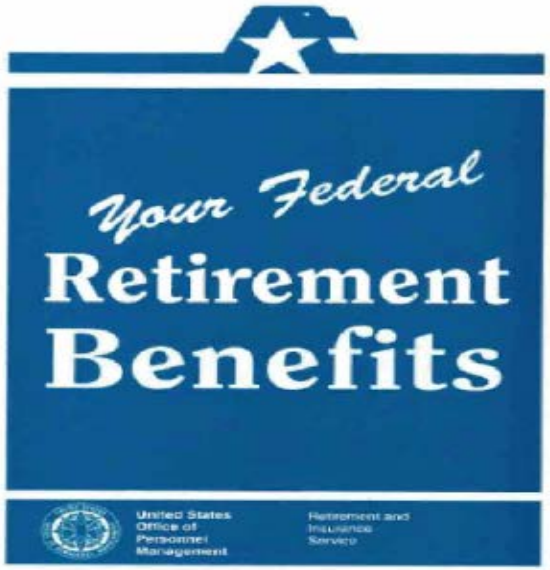
- **You can decide where you want your checks to be mailed.**
- **Any employee who is eligible for a terminal leave check or the incentive payments should complete form PS3077 a *"Request to Forward Salary"* and submit the form to their employing office.**

When Can I Expect My Annuity From OPM ?

- Employees who retire on December 31, 20XX should receive first interim check February 1, or March 1, 20XX.
- The interim check represents a portion of your final benefit.
- Only federal income tax will be withheld from interim checks.
- Interim checks will be paid until your actual annuity amount is determined.
- Health and Life insurance coverage will continue.
- Health and life premiums will be withheld when your application has been finalized and retroactively paid to you by OPM.

Retirements Benefits

Retiree Name
Retiree Address
Retiree City State Zip Code





Planning for Retirement Income

- When you retire, your steady stream of income will change.
- Retirement incomes arrive on different schedules.
- Pensions and Social Security are paid once a month.
- Stock dividends are paid quarterly and interest on bonds are paid semi-annually.
- You will need to establish a financial plan that provides for the income you will need to live on.
- You will need to consider:
- *What sources of income are you confident you can count on?*
- *How much income will they provide each year?*
- *How and when will the income be paid?*
- *How will you coordinate payments from different sources to create a steady stream of income?*



Social Security

- Age
- Years of Social Security Earning.
- AIME (Average Indexed Monthly Earnings).
- Social Security Office at 1-800-772-1213 for Social Security Statement Estimate or request online at www.ssa.gov.
- Receive benefits at age 62, but amount will be actuarially reduced.
- Money received early may make up for money lost in reduction.
- Waiting until after age 65-67 you will earn delayed credits.
- Benefits may be recomputed with additional earnings.
- Benefits reduced up to age 70 if maximum earnings limit is exceeded.
- Remember Social Security taken prior to full retirement age has an earnings limit for other wages.
- The earnings limit changes each year.

Social Security
Full Retirement Age

Year of Birth	Full (normal) Retirement Age
1937 or earlier	65
1938	65 and 2 months
1939	65 and 4 months
1940	65 and 6 months
1941	65 and 8 months
1942	65 and 10 months
1943-1954	66
1955	66 and 2 months
1956	66 and 4 months
1957	66 and 6 months
1958	66 and 8 months
1959	66 and 10 months
1960 and later	67

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Social Security Benefits Early

- **Your Social Security benefit is affected by your age at the time you begin receiving benefits.**
- **Taking your benefits early will permanently reduce your benefit based on the number of months you receive checks before you reach your full retirement age.**

Full Retirement Age	**65**	**66**	**67**
• **Reduction at 62 will be:**	**20%**	**25%**	**30%**
• **Reduction at 63 will be:**	**13 ½ %**	**20%**	**25%**
• **Reduction at 64 will be:**	**6 2/3%**	**13 ⅓%**	**20%**
• **Reduction at 65 will be:**	**none**	**6 2/3 %**	**13 ⅓%**
• **Reduction at 66 will be:**	**--**	**none**	**6 2/3%**
• **Reduction at 67 will be:**	**--**	**--**	**none**

- **Should you choose to wait before receiving SSA benefits in order to receive more, you may have to collect 10 to 14 years before you reap the benefit of full retirement.**
- **The decision is yours.**

WEP - Windfall Elimination Provision

- **If you will receive a non-covered pension, your estimate is wrong. The Social Security benefit is calculated using a "modified formula." The greater the number of years of substantial earnings under Social Security, the less impact this will have on your benefit.**

REFERENCE: https://www.ssa.gov/pubs/EN-05-10045.pdf

CSRS ONLY

GPO - Government Pension Offset

- **Social Security pays a spouse and/or Ex-spouse benefits based on a worker's earnings. However as a CSRS federal annuitant, you may be affected by GPO.**

- **GPO - Government Pension Offset**

The Social Security survivor benefit for a spouse receiving a federal government pension is reduced $2.00 for every $3.00.

REFERENCE: www.ssa.gov/pubs/EN-05-10007.pdf

Pg.

Medicare Part A

There are two parts to Medicare:

- **Medicare Part A**

Hospital insurance helps pay the cost of four types of care:

1. **Inpatient hospital.**
2. **Skilled nursing facility.**
3. **Home health.**
4. **Hospice.**

- **Most individuals don't have to pay a monthly premium for Medicare Part A. This is because they or a spouse paid Medicare taxes while they were working.**
- **Automatically enrolled at age 65 if you are receiving Social Security Benefit.**

Medicare Part B

- **Medical insurance that helps pay the cost of:**
  1. **Doctors' service.**
  2. **Outpatient hospital services.**
  3. **Home health visit.**
  4. **Diagnostic, X-ray, laboratory, and other test.**
  5. **Necessary ambulance service.**
  6. **Other medical services and supplies.**

- **When retirees reach age 65 they should enroll in Medicare Part B to avoid the late enrollment penalty.**
- **Medicare will become the primary insurance and FEHBP will be the secondary insurance for the retiree and covered spouse, if spouse is age 65 or older.**
- **The Medicare Part B premium is deducted from the Social Security benefit or OPM annuity if there is no Social Security benefit.**

Medicare Part B cont.

- **The late enrollment penalty is 10% of the premium each 12 month period you delayed enrollment.**
- **The late enrollment penalty is for life.**
- **The higher premium does not apply when are working at age 65 or you are covered by a working spouse's health benefit plan.**
- **Federal employees, who become disabled before age 65 and who are receiving disability benefits for two (2) years from Social Security will get Medicare coverage automatically from Social Security.**
- **When you are enrolled in Medicare Part A & Part B under disability benefits you can decline Part B if you do not want to pay the Part B premium.**

WWW.TSP.GOV

- **Your efforts today should be to save the maximum amount possible in your TSP to build this savings for your future.**
- **Take advantage of the various “thrift” plans (CSRS-FERS) available to you.**
- **Save the maximum you can, even if you will only be in the program for a year or less**
- **Contact the TSP office for more information on your options after retirement.**
- **1-504-255-8777 - www.tsp.gov**

Thrift Savings Plan

- **Maximum contributions for 2022 - $20,500.**
- **Maximum Catch-Up contributions for 2022 - $6,500.**



TSP Withdrawal Options

- **Withdraw account in a single payment. All or part may be transferred to an IRA or other eligible plan.**
- **Withdraw account in a series of equal monthly payments or periodic payments. All or part of certain monthly payments may be transferred to an IRA or other eligible plan.**
- **Receive a life annuity. (To purchase an annuity, account balance must be at least $3,500).**
- **Rollover into whatever financial program you choose. Get professional help.**
- **Defer to age 70 ½ when you will have to start some deduction.**

***** New provisions are now allowed after the implementation of the TSP Modernization Act. Check the TSP website.***

Cost of Living Adjustment

- Based on the Consumer Price Index.
- Published by Department of Labor and reflects changes in consumer prices for urban wage earners and clerical workers.
- Reflected in January annuity payment.
- Prorated for each month the employee is on retirement rolls the previous year.
- Example-Retired June 30th – receives 6/12 of COLA.
- Survivors receive a COLA regardless of age.

FERS COLA

- **Begins at age 62.**
- **In addition to Social Security COLA.**
- **Matches rate of inflation if less than or equal to 2%.**
- **Otherwise, rate equals 1% less than inflation.**

Can They Change My Annuity?

- **YES**

- Some changes are good like the Cost of Living Adjustments (COLA).
- Congress has the power to make changes, but remember that OPM- Office of Personal Management is over seen by the Executive Branch of Government.
- One stroke of a pen can significantly change your benefits.
- Stay Involved and stay aware.
- Stay active to have your voice heard!

JOIN :
APWU's Retirees Department

For just $3.00 a month APWU:

- **Stay informed on changes effecting retirees.**
- **Take advantage of benefits and discounts for retirees.**
- **Be involved in Legislative Issues at State & National levels.**
- **Let your voice be heard and VOTE in the National elections.**
- **Receive the National magazine.**

Ten Retirement Suggestions

1. **Begin planning your retirement at the beginning of employment or start today.**
2. **Attend several pre-retirement seminars.**
3. **Keep your retirement plans confidential, this allows you to change your mind if retirement plans change.**
4. **Discuss your plans with your spouse so both your interests can be preserved in your new life style. Know there is a spousal consent requirement.**
5. **Learn the facts of your many retirement options from the retirement counselor in your post office.**
6. **Review your life and health insurance needs and figure the cost as you decide which policies to take with you into retirement. Realize how age will impact your premiums.**

Ten Retirement Suggestions cont.

7. **Stay where you are for about a year after you retire. This will help you make a wise decision on whether to stay close to family and friends or move to a new area.**
8. **Take advantage of the various "thrift" plans (CSRS-FERS) available to you. Save the maximum you can, even if you will only be in the program for a year or less.**
9. **Take financial inventory and budget for unexpected expenses like increasing college tuition for your children or medical care for you or a loves one.**
10. **Take advantage of all the retirement information provided by your APWU Retiree Department, Postal Service, OPM and independent sources including government websites.**

Lastly, do not live your life for retirement.
Retirement is just another stage of life
we can all look forward to.

Resources

OPM - Office of Personnel Management	1-888-767-6738	www.opm.gov
SSA - Social Security Administration	1-800-772-1213	www.ssa.gov
MEDICARE - Social Security Administration	1-800-772-1213	www.mymedicare.gov
IRS - Internal Revenue Service	1-800-829-1040	www.irs.ustreas.gov
TSP - Thrift Savings Plan-	1-504-255-8777 / 1-877-968-3778	www.tsp.gov
NARFE - National Active/Retired Federal Employees	1-703-838-7785	www.narfe.com
FEGLI - Federal Employee Group Life Insurance	1-800-633-4542	www.opm.gov/insure/life/index.asp
APWU - American Postal Workers Union	1-202-842-4200	www.apwu.org
NALC – National Association of Letter Carriers	1-202-393-4695	www.nalc.org
CSRS/FERS Handbook		www.opm.gov/asd/htm/hod.htm
DVD Retirement Information - PEDC		www.liteblue.usps.gov
HRSSC – 1-877-477-3273 OPTION 5 (TDD/TTY 1-877-260-7507)		www.liteblue.usps.gov
POSTAL EASE		http://mysite.verizon.net/vze33bcr/id42.html
RETIREMENT PLANNING CALCULATORS		www.FedCalc.com
Dept of Veterans Affairs	1-800-829-1040	www.va.gov
Federal Flexible Spending Account	1-800-843-3557	www.fsafeds.com

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